



Online Loan Scams and Digital Lending Frauds

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The digital revolution has transformed the financial sector, making borrowing more accessible than ever. Online lending platforms offer quick and easy loans, often with minimal documentation. However, this convenience has also opened the floodgates for online loan scams and digital lending fraud. Unsuspecting individuals fall prey to fraudulent lenders who exploit their financial distress or lack of awareness. These scams operate through deceptive loan offers, hidden charges, and predatory interest rates, trapping victims in cycles of debt.

India has witnessed a surge in online loan scams, particularly through unauthorized digital lending apps. In 2023, over 600 illegal lending apps were removed from Google Play Store following government intervention. These fraudulent lenders, often operating without regulatory approval, lure borrowers with attractive loan offers and instant approvals. However, once a user borrows, they face exorbitant interest rates, hidden fees, and aggressive recovery tactics, including harassment and threats. A report by the Reserve Bank of India (RBI) revealed that cyber